Atchison

Atchison Active Real Assets SMA

31 December 2024

PORTFOLIO PERFORMANCE

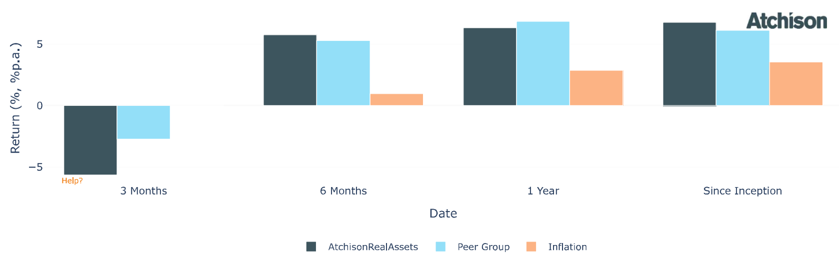
The Atchison Active Real Assets SMA delivered -4.8% for the month, and -5.6% over the quarter.

Over the last 12 months, the Atchison Active Real Assets SMA delivered 6.3%, materially beating Inflation by 3.5%. Relative to the Peer Group (FE AMI Peer Average), Atchison Active Real Assets SMA has underperformed over the last 12 months.

Since inception of the strategy, the Atchison Active Real Assets SMA has delivered 6.8%, significantly beating Inflation by 3.2%. Relative to the Peer Group (FE AMI Peer Average), Atchison Active Real Assets SMA has outperformed since inception of the strategy.

All performance metrics listed above are net of appointed investment management fees but before tax.

Returns vs Benchmarks



	3 Months	6 Months	1 Year	Since Inception
AtchisonRealAssets	-5.63	5.76	6.33	6.77
Peer Group	-2.73	5.28	6.84	6.11
Inflation	0.00	0.97	2.86	3.53
Outperformance vs Peers	-2.90	0.49	-0.51	0.67
Outperformance vs Inflation	-5.63	4.79	3.47	3.25

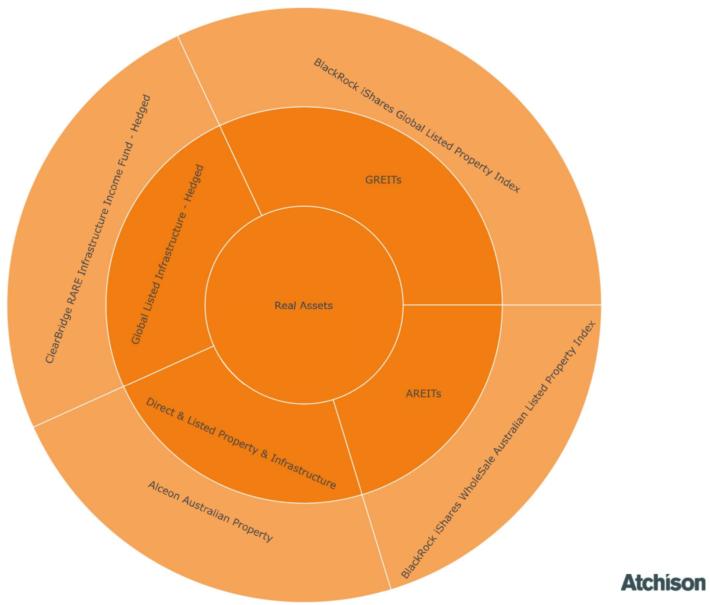
Performance of $100,000 Investment

PORTFOLIO COMMENTARY

- On a weighted basis, the largest holding contributor to the portfolio outcome has been BlackRock iShares Global Listed Property Index
- The holding that contributed the least to portfolio return was Invesco Global Real Estate Fund - Class A
- The current holding with the highest absolute return has been BlackRock iShares WholeSale Australian Listed Property Index
- Whilst the current holding with the lowest absolute return has been ClearBridge RARE Infrastructure Income Fund - Hedged

PORTFOLIO CONSTRUCTION

Portfolio Construction - Allocation Category



MARKET OVERVIEW - December 2024

- Australia's S&P/ASX 200 Index (ASX: XJO) fell 3% in December, marking its worst monthly performance of the year. Real estate -6%, materials -5%, information technology -4% and financials -4% all weighed on the index.
- The Momentum Factor was the top performer, returning 20% for the year. This, along with the outperformance of larger companies, contributed to a 4% underperformance in the Equal Weight index relative to the market-cap-weighted index. The High Dividend Factor also lagged.
- Australian equity volatility remained relatively subdued compared to historical levels and global peers. The S&P/ASX 200 VIX (ASX: XJO VIX) closed the year up 11%, compared to the VIX (CBOE: VIX) at 17%.
- Despite a pullback in December, U.S. equity markets had an extraordinary year in 2024, marked by 57 all-time closing highs. The S&P 500 Index (NYSE: SPX) ended the year up 25%, marking its strongest two-year performance since 1998. The S&P 500 Top 50 Index (NYSE: SPX50) performed even better, rising 34%, fuelled by the strength of mega-cap stocks, solid economic growth, and optimism surrounding AI.
- While mid and small-cap stocks benefitted from the broader market rally, which was further amplified by the Presidential election results, fewer-than-expected Federal Reserve rate cuts led to their underperformance, with mid-caps and small-caps gaining 14% and 9% respectively - underperforming their large-cap counterparts.
- Most large-cap sectors posted gains in 2024, with Communication Services, Information Technology, and Financials leading the way, all up more than 30%.
- The FTSE100 finished down -1% for the month and up 5% for the year, with large growth stocks driving gains, whilst small-caps lagged. Novo Nordisk has been a drag over the last 12 months, down -9% - a noteworthy decline given Eli Lilly is up 34% over the same time period.
- Both the CSI300 and Nikkei 225 finished in positive territory over 12 months, up 15% and 17% respectively. However, over the month the CSI300 is down 5% due to slowing economic growth, weak consumer spending, global trade tensions.
- Bonds posted positive returns across the board in 2024, driven by moderating inflation and tightening spreads. The Reserve Bank of Australia (RBA) maintained a hawkish stance, limiting the return of the S&P/ASX Australian Fixed Interest 0+ Index (ASX: FIX) to 3%.
- In 2024, credit markets performed well, particularly high-yield bonds, as the gap (or spread) between US bond yields and lower-rated bonds became historically narrow. This benefited high-yield bonds significantly, with the iBoxx USD Liquid High Yield Index outperforming the Investment Grade Index by 6%.
- Commodity performance was mixed, with cocoa topping the commodity rally for the second year in a row up +170%, whilst iron ore continues to struggle following a strong US dollar and weak Chinese demand down -25%. Gold was another strong performer over 12 months up 30%, bolstered by its safe-haven demand.

CONTACT US

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MODEL BENCHMARK ASSUMPTIONS

	G1	Code	Description
0	Australian Shares	IOZ-AU	100% iShares Core S&P/ASX 200 ETF
1	International Shares	BM_IntShares_85DM15EM	85% Vanguard MSCI Index International Shares ETF + 15% iShares MSCI Emerging Markets ETF
2	Real Assets	BM_RealAssets	20% AMI Property - Australia Direct + 25% Vanguard Global Infrastructure Index ETF + 30% BlackRock iShares Global Listed Property Index + 25% Vanguard Global Infrastructure Index ETF
3	Alternatives	BILL-AU	100% iShares Core Cash ETF
4	Long Duration	BM_Duration	50% iShares Core Composite Bond ETF + 50% Vanguard International Fixed Income ETF
5	Floating Rate	FLOT-AU	100% VanEck Australian Floating Rate ETF
6	Cash	BILL-AU	100% iShares Core Cash ETF

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